

Tesla, Inc.

Financial Performance Report — Q1 2025

Quarter Ended March 31, 2025

Executive Summary

Tesla reported revenue of \$19.3 billion in Q1 2025, representing a year-over-year decline of 9.4% compared to \$21.3 billion in Q1 2024. This marks the weakest quarterly performance in the past five quarters. Operating margin collapsed to 2.1% in Q1 2025 from 11.4% in Q1 2024, reflecting severe margin compression driven by aggressive price cuts, rising tariff costs, and a significant drop in vehicle deliveries. Net income fell sharply to \$0.41 billion from \$1.13 billion in Q1 2024, a decline of over 63%.

Q1 2025 Key Highlights

Vehicle deliveries dropped to 336,700 units in Q1 2025, down from 386,800 units in Q1 2024, representing a 12.9% year-over-year decline. This is the lowest delivery figure across the five-quarter period analyzed in this report. Free cash flow remained relatively stable at \$1.15 billion, compared to \$2.06 billion in Q1 2024. Diluted EPS fell to \$0.12 in Q1 2025 from \$0.34 in Q1 2024. Gross margin declined to 16.3% from 17.4% in the prior year quarter, while R&D expenditure remained flat at \$1.14 billion, reflecting Tesla's continued investment in next-generation vehicle platforms and AI infrastructure.

Quarter-over-Quarter Financial Summary (Q1 2024 – Q1 2025)

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025
Revenue (\$B)	21.3	25.5	25.2	25.7	19.3
Revenue Growth (YoY)	8.5%	2.3%	7.8%	3.5%	-9.4%
Operating Margin	11.4%	9.6%	10.8%	8.2%	2.1%
Gross Margin	17.4%	18.0%	17.1%	17.6%	16.3%
Net Income (\$B)	1.13	1.48	1.85	2.32	0.41
Free Cash Flow (\$B)	2.06	1.34	0.35	1.36	1.15
Deliveries (K units)	386.8	443.9	462.9	484.5	336.7
EPS (diluted)	\$0.34	\$0.42	\$0.72	\$0.73	\$0.12
R&D Expense (\$B)	1.15	1.15	1.16	1.19	1.14

Revenue Analysis

Tesla's revenue declined to \$19.3 billion in Q1 2025, a sharp reversal from the \$25.7 billion recorded in Q4 2024. The year-over-year revenue growth rate turned negative for the first time in this five-quarter period, falling to -9.4% in Q1 2025 from 8.5% in Q1 2024. The primary drivers of this revenue contraction include a meaningful reduction in average selling prices due to continued price cuts across the Model 3 and Model Y lineup, combined with weaker-than-expected consumer demand in key markets including the United States, Europe, and China. Automotive revenue, which constitutes the

majority of total revenue, bore the brunt of this decline.

Profitability and Margin Analysis

Operating margin compression is the most critical concern in Q1 2025. At 2.1%, Tesla's operating margin is at its lowest point across the five quarters analyzed, compared to a peak of 11.4% in Q1 2024. This 930 basis point decline in operating margin reflects the twin pressures of lower revenue per vehicle and higher per-unit costs driven by new tariffs on imported components. Gross margin also declined to 16.3% from 18.0% in Q2 2024. Net income of \$0.41 billion represents a 63.7% year-over-year decline. If operating margins do not recover above 5% in Q2 2025, this would signal a structural profitability problem rather than a cyclical dip.

Key Risk Factors

Tariff Exposure: New U.S. tariffs on imported EV components significantly increased Tesla's cost of goods sold in Q1 2025. This is identified as the primary key risk for Q1 2025 and is expected to persist through at least H1 2025 unless trade policy changes occur.

Demand Softness: Deliveries of 336,700 units in Q1 2025 fell sharply from 484,500 units in Q4 2024. Weak consumer sentiment, elevated interest rates, and increased competition from Chinese EV manufacturers such as BYD contributed to this demand weakness.

Margin Pressure: Continued price cuts to stimulate demand are eroding profitability. The 2.1% operating margin leaves very little buffer for further cost increases or demand shocks.

Competition: BYD surpassed Tesla in global EV deliveries for the first time in Q4 2024. Competitive pressure is intensifying in China, which remains Tesla's second-largest market.

Outlook and Analyst Commentary

Looking ahead to Q2 2025, Tesla's recovery depends on three factors: tariff resolution, the ramp of the refreshed Model Y, and stabilization of average selling prices. Management has guided for the launch of a more affordable vehicle in H1 2025, which could stimulate demand but may further compress gross margins in the near term. From a DuPont analysis perspective, Tesla's return on equity is under pressure from both declining net profit margins and lower asset turnover. The Altman Z-Score, while not calculated explicitly here, would likely show deterioration given the sharp drop in EBIT relative to total assets. Investors should watch operating margin recovery as the single most important leading indicator for Tesla's financial health in 2025.